Iran Could Take 4 Million Barrels a Day Off the Market

Podcast: Know your risk

AI Executive Summary

1. Core Thesis

The episode analyzes the convergence of geopolitical supply risks in the Middle East, specifically regarding Iran's oil exports through the Strait of Hormuz and their potential impact on global inventories; evaluates market volatility driven by a hawkish Federal Reserve stance amidst conflicting bond yield trends; and critically assesses the sustainability and security risks associated with recent US-Venezuela energy partnership structures.

2. Key Arguments & Data

- **Iranian Sanctions & Oil Supply:** Iran is currently shipping approximately 7 million barrels/day via ship-to-ship transfers in the Strait of Hormuz. A restriction reducing this flow to 2–3 million barrels/day would create a "tight" market, exacerbating current low oil-on-water stocks and onshore inventory buffers alongside SPR draws.
- **Escalation Risk:** Recent US-Iran tensions involve missile strikes on smaller vessels and threats of rocket-launched mines in the Strait, prompting retaliatory warnings from President Trump to "hit them hard," setting up a potential tit-for-tat cycle.
- **Equities Performance:** S&P 500 closed -0.3%, Russell QQQ flat, small caps -0.6%, Amazon down -2.5%, Tesla up +5.5% (filled gap), Bitcoin up >1%. XUS fell -0.26% alongside the Dollar.
- **Fixed Income Trends:** The 10-year Treasury yielded a new yearly high (up +2 bps despite hawkish Fed commentary from leadership/"Mr. Besin"). The 30-year yield also hit a year-high (+3 bps), challenging the narrative that rate hikes would lower inflationary yields.
- **Commodities:** WTI crude returned to above $85/bbl and Brent to above $90/bbl (Oil up ~3%). Palladium (-4.6%) and Platinum (-3.2%) are near buy zones due to declining Russia demand, while volatility remains low (front month vol 16.5).

- **Venezuela Partnership:** The US is structuring a deal taking a 35% stake in an oil company run by Bettencourt (a figure with arrest warrants and corruption charges), granting the US the right to take 20% of production at cost.
- **Economic Outlook:** While 75 basis points of rate cuts occurred recently, future hikes depend on CPI data rather than Jobs reports; current nominal growth and inflation suggest hikes may not be necessary despite yield pressures.

3. Actionable Takeaways

- **Monitor Strait of Hormuz Activity:** Watch for signs that Iran reduces ship-to-ship transfers (from ~7M bpd to <3M bpd) as this could drive the market into a dangerous supply shortage, necessitating aggressive SPR usage.
- **Adjust Rate Expectations:** Prepare for inflation-driven Federal Reserve policy shifts based on upcoming CPI prints rather than Jobs data, acknowledging that current bond yields may remain elevated due to broader economic growth factors.
- **Evaluate PGMs & Oil:** Consider the buy zone signals in Palladium and Platinum while maintaining a risk-averse stance, given their volatility compression; hold cash positions if WTI/Brent volatility continues.
- **Assess Venezuela Investment Risk:** Major energy corporations should scrutinize long-term projects in Venezuela (e.g., Bettencourt deals) due to high corruption risks, potential legal investigations under US law, and the threat of regional unrest or democratic instability undermining investor protections.

Full Transcript

If you're going from, say, getting 7 million barrels a day out to, let's say you drop that to like 2 or 3, that is a massive change for the oil market. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

Alright, welcome back to another edition of the daily dots here on Monday August 31st Chase flying solo with you today. I've got a few things to talk about I'll talk about the war some because it's kind of back on in a way and changing Changing a little bit. So we talked about last week how you know Iran Was letting a good bit out like and how in a way that kind of works for Iran that clearly smuggling some of their own out I would say obviously that's good for them, but When you start letting out 7 million barrels a day, which is starting to look like where we've crept up to, you may be removing too much pressure from the US. As long as China's buying is pretty low and you're getting 7 million out, you can live with that, especially through the midterms. That looked like a change maybe this weekend. Iran launched some attacks.

you know, hit some more stuff in the straight. They've been hitting like one a day, no kidding, like weeks and weeks. They have essentially done not done anything on to the ship to ship transfers where they use small vessels to get it through and then they transfer to the bigger ships. It sounds like some people think they struggled to target the smaller ships. Like the big ones are easy to see from the coast, easier to target. And so they're hitting like one of those a day, but they couldn't maybe see very well or target very

well. the smaller ones. Some people seem to think they have found a way to do that a little better. And in this past few days, it was kind of a warning shot like, hey, we can hit those now. And it also sounded like they were going to maybe mine that area by using rocket launched mines, which is pretty crazy. And then we took out those launchers to make sure they didn't do that. And then obviously they responded by launching ballistic missiles, you know, all over the region again.

We basically said nothing hit, although some saddle imagery makes it look like something may have been hit in Jordan, maybe a hangar or something. President Trump today said, you know, we're going to hit them hard. So I assume we're kind of back into a loop of tit for tat for a little bit. I don't know for how long. So if we hit them hard, they're going to hit us back harder or oil infrastructure or whatever. Typically the way this is gone is then we say we're gonna annihilate you and then you know at the last hour We say just kidding. It sounds like we have a deal So from an oil price perspective kind of on guard for exactly that unfolding for like the tenth time We'll see I don't know how that's gonna go But what I do know is if Iran is more serious about not allowing the ship to ship stuff That would be a big deal because if you're going from say getting seven million barrels a day out to let's say you drop that to like two or three That is a massive change for the oil market. If Iran can enforce that and hold it, it remains to be seen, they have to prove it. But if they do, and especially if China has bottomed on their imports, what it looks like it has for the last two months, now they're not up significantly, but they've bottomed so far.

That would that would make that would make for a very very tight market. Obviously, we have SPR draws which have helped a ton to along with China But you know in addition to that you've had oil on water draining significantly and you had some buffer on onshore inventories Well oil on water is now pretty low and then the onshore inventory buffers also pretty low so you would have to obviously keep going SPR wise to dangerous dangerous levels onshore inventories would go to virtually nothing And he's just running out of different areas of buffer you have to keep oil from becoming incredibly problematic Quickly, unfortunately, so something to keep an eye on can they actually, you know Get that seven million barrels a day get coming out of the straight number back under five or no remains to

be seen S&P closed down point three equal weight was double that down point six The Q's ended up basically flat here on the last day of August small caps down point six Bitcoin up a little over one All-World XUS was down point two which was not great because dollar was down about point two six As far as inside the mag seven went The bigger moves yet Amazon down two and a half and you had Tesla up a five and a half and I'll note on Tesla that it filled a gap and is that Just at least on the chart, a kind of a rough spot where this kind of surge that's had lately could come to an end. So it's an interesting one to watch on the chart. The two-year was down one basis point. Unfortunately for Mr. Besin though, the 10-year was up two and the 30 was up three. And that's a new high for the year in the 10-year, which is obviously problematic. And that's probably in large part because you had oil up almost 3% on the day.

WTI is back above 85 and Brent is back above 90 You're also up about 1% on gasoline futures on the day oil silver excuse me gold and silver both down about 1% same for gold miners Brutal for PGM's though. We talked about palladium and the potential Russia risk there last week Well, it's gone as of today as plating was down 4.6 and platinum was down 3.2 Both of those are close to entering a potential kind of buy zone to me, where you can kind of keep the risk really tight. Just take a shot. Copper on the other hand up a little bit. Vol down 2.2, and now you have front month vol at 16.5. The second month is 18.4, so getting pretty tight there. As for the AI trade, you had DRAM up almost 2%. You had chips up about 0.6. They'll bloom energy down about 2%.

And I'll rip through see if there's any seal name stuff that I wanted to or ETS that I wanted to highlight So far no Yeah, it looks like not really nothing that was Noteworthy enough to really bring up So obviously the most important thing to me at the moment other than the war stuff, which we'll get to Is the rates so we had obviously or pretty hawkish on Friday Notable to me goodness is something or I was just dead wrong on. I thought if he came out hawkish, it might actually help get kind of 10, 20, 30 year bond yields down a little bit, restoring some inflation fighting credibility that was starting to crack maybe. Um, but I think the people that view the 10 years just a rolling two year almost where the hikes have to insert themselves, uh, into that yield, at least for now, those people look right and

I'm, I'm, I'm dead wrong. So at the same time, you know, he has to actually hike.

For that part of my theory to really play out, but we'll see Yeah, you could also argue it's just hard to get yields down in this environment period no matter what you do with the war with El Nino with giant deficits with hot nominal growth like Good just good luck in getting rates down at all. It is it which is a fair a fair viewpoint I Best didn't talk to you today and it was interesting because in one sense he took a shot at at Stanley Drucker Miller basically said like, oh, he just lost money that day making it sound like I use this mad at sour grapes and blame me Like that I found that super annoying because it it treated it treats dr. Miller like he wasn't being serious So like like his view was about him making money and not about you know, the good of the country, which is totally not fair on the flip side though Besson kind of tried to put some toothpaste back in the tube It seemed like he went out of his way to say like whoa, I you know, I can't control the price of long ponds like That's too big All I can do is kind of, you know, slow it down and make sure the market has all the facts. And like, he was, you know, some nonsense like that, which they look like at one point, he was absolutely just literally, he was there to manipulate the price, right? And then I think he realized how bad that looked. And now kind of trying to reframe this is like, whoa, whoa, whoa, just I'm just still doing liquidity only. And maybe, you know, just trying to slow the price down, not necessarily Change the price But the same time you know it's in your yield made a new high today, so You know if we add another 20 bits in the next two weeks is he gonna stay that same one or is he gonna? You know try to find a way to jump in there and do something we'll see also, you know force hikes next month and It does keep pressuring the price or the yield tire Which one of them is gonna you know blink and how to try to cap yields because you know if If yields were problematic two weeks ago, they're definitely problematic now since the 10 years higher than it was. 30 years way less important though to be clear from an economic standpoint from a financial system standpoint all of it. So in that sense, the 10 being at a new high is more important. Obviously the 30 years going nuts isn't great, but a lot, you know, that is not like a benchmark for things like...

you know, mortgages and stuff in the same way. So it's a little less important. The last thing I want to talk about is also kind of topical. And I may have a bit of a different view on that a lot of other people. And that is Venezuela. I think to date, You have to say what we've done in Venezuela, even if you think it's distasteful, it's been relatively successful. There's less influence from Russia and China in Venezuela, which on its own, I think is a good thing. There is more work being done between the two countries for developing Venezuela's oil assets because they're obviously horrific at it for the last few years. That's good for us. That's good for Venezuela. But I will say, broadly speaking, there's a lot of risk involved in this partnership. And I think this new oil deal, we are trying to structure with them maybe increasing that risk. And the way this looks like it's playing out is there's a guy that goes by the name of Bettencourt in Venezuela that has an oil business that we are taking a stake in. The US government will, I guess, apparently have 35% stake in this guy's oil company. And then the oil that that company will produce in these, well, you know, these different areas that he's going to get these leases on or whatever. The US will have the right to take 20% of that production and do it at cost.

Now, if all that plays out great, you know, that's cheap oil for the U.S. And it's the kind of will that we need. So that would be a success for U.S. energy in general, right? The problem is this betting court guy seems like he might be a dirtbag. The United States has investigated him for all kinds of crimes to include, you know, money laundering and stuff like that. The state of Florida has investigated him. The Spanish government has investigated him. The Swiss government has an arrest warrant out for him like now or like as we sit here. This guy's been accused of being a very corrupt official. He had some power contracts in Venezuela through the government that seemed corrupt. They ended up not delivering very much power, didn't execute very well in his contracts. So this dude has pretty checkered past.

tying tying the United States government's interest in in Venezuela and oil to that guy I mean for one thing it just looks bad because it's due to you know corrupt he's tied to a corrupt unelected communist government that all of a sudden we're friends with just awkward right but one of the hard things is if we The United States takes too much from Venezuela. You can reawaken some armed groups, some people that have significant interests

and this kind of stuff that maybe aren't getting their beak wet. There's a lot of potential for pushback, for violence, for unrest. Whenever this whole thing started with the nabbing of Maduro, we immediately were like, oh yeah, no, we're going to move towards elections. You guys are going to be able to pick your own person. When all of a sudden, we're doing massive deals with very corrupt you know, government that was not elected, are we really going to let there be an election where someone comes in that may not want to may not want to hold it to those corrupt deals that that, you know, they make with us? I don't know. And but if we're not going to let people, you know, have democracy, how long are regular people going to be be cool with that before they hit the streets and before there's violence and problems? I mean, the history of the United States propping up dictators because they had our interests at heart.

Or we're willing to serve our interests at scale, you know, this is a very long deep history. Usually, you know, obviously it didn't end well because regular people got sick of it or, you know, other different dirtbags that had no power that one of the some, you know, got in and overthrew these governments, whatever the case was. Um, point is it's not a sustainable strategy to prop up, uh, dictatorial corrupt people and just kind of leech off of them. You know to get your own stuff There are ways you can balance it and keep most you know people happy in that country for a for a while But I my concern is that doing a deal like this could awaken some of the people that aren't in on it or Could kind of lift the veil from the fact that maybe we aren't going to have any elections anytime soon Maybe maybe this isn't about freeing the Venezuelan people and and getting them, you know democracy and stuff. Maybe it's about you know the US getting one at one side of Venezuela at the cheapest price possible. So it's something worth watching now to be clear. Venezuela is a tiny oil producer right now. There'll probably still be a tiny oil producer one, two, three, four, five years from now, maybe not five, but two, three years from now, even if this deal goes really, really well. The other thing I'll say like, you know, if I'm a Chevron Exxon, Schlumberger, whatever, I'm willing to go back to to Venezuela in the right terms. What I probably don't want to do is go back and drill for this bed and court guy. And with no democracy, you know, with like, it's just, that's a tough one because, you know, after the midterms, you may get investigated by Congress. Um, there may be stuff that doesn't

hold up well in court in the future. You may just get overthrown by, you know, some communist revolutionaries in Venezuela two years from now and lose your whole investment again.

It just doesn't feel that sustainable if I'm a giant multinational with You know where my my Reputations important and where my legal problems aren't worth You know squeezing out 500,000 barrels a day or whatever like I'm not doing this so it'd be interesting to see how the follow-through from the majors Given this reported structure And it's gonna be interesting to see that the how the different constituencies inside of Venezuela treat this, if this is the way it's actually going to unfold. Just something worth thinking about as we move forward here. I just think the risks inside of Venezuela are far from being small. I just get the vibe that a lot of people view this as like an easy win. We're just going to go in there and they're going to be making five million barrels.

of oil a day and the US is just going to get it off of free and like we're going to refill the SPR with it and like all our problems are going to be solved. I just think there's a lot more risk involved in that than a lot of people do far, far from a panacea. We'll see how it goes. For the rest of the week, we got jobs data. It's kind of jobs a week, so we'll get jolts and all this stuff. That's going to be interesting. I think a bad enough jobs report could take that hike away. I think a really hot jobs report might help You know make it firm, but at the end of the day I think this jobs report is gonna be close enough to Where we came from to not matter more than the next CPI print the next CPI prints probably gonna decide Inflate whether or not we hike comes in cool again. It's three in a row that are cool just by you know the backdrop They probably won't hike And then if it comes in hot they probably have no choice but to hike But again as I kind of outlined last week to you know Given where nominal growth is, given where inflation is 2550, even 75 basis points of hikes over the next year or two, it's just, it's not going to matter. So I don't think anyone should get too, too freaked out by that. We did 75 basis points of cuts. We probably had no business doing in the last couple of years. Like just putting that back on while you have like 4% inflation, right? To me, a big deal, but we'll see how it goes.

That's it for me. Back tomorrow with more. Don't forget you can download, subscribe at knowyourselfpodcast.com. Check us out on YouTube, tell your friends. Cheers.